

Applied Ethics

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WHAT'S COVERED

In this lesson, you will learn how the theories discussed above apply to business decisions. In particular, you will learn about

1. Virtue Ethics in Business



WATCH

How do ethical theories affect everyday work situations?

Given the vastly different cultural and historical settings of ancient Greece and China, you may be surprised to find similarities between the Aristotelian and Confucian systems of virtue ethics. Both are concerned with what makes a person good or admirable. The two systems also share the theme of control. For Aristotle, control manifested itself through prudence, resulting in virtuous living, harmony, and happiness. In Confucian virtue ethics, control was a function of self-regulation; primitive instincts were held at bay and the person gained the capacity and courage to act more humanely. This achievement of control benefited not only the individual but also the family and, by extension, the nation. Self-regulation was Confucius's way of establishing order.

In a business context, control bears directly on **managerial ethics**, which is a way of relating to self, employees, and the organization that balances individual and collective responsibility, and in which management also includes planning, organizing, and leading to achieve organizational goals. A self-controlled, disciplined manager is able to work through layers of bureaucracy and the complexities of human interaction to attain goals in a way that is responsible and profitable and that enhances the organization's mission and culture. These goals are achieved not at the expense of stakeholders but in a way that is fair for all. You might even say that righteousness leads to justice, which includes profit. Neither Aristotle nor Confucius disapproved of profit as long as it benefited humanity in some way.

Despite these similarities between the two traditions, there are differences—the most notable being the locus of ethics. Aristotle placed this locus on individuals, who were called to fulfill their purpose honorably, accepting fate with dignity and aplomb. The basis of this acceptance was reason. For Confucius, the locus was the family, which he envisioned as putting an end to anarchy and setting the nation on its proper course by providing the basic pattern of relationships for personal and professional life. To be sure, family counted for Aristotle just as the individual counted for Confucius, but the emphasis in each system was different.

Regardless of the source of ethical behavior, those engaged in business were required to act with accountability and responsibility. They were accountable to customers and suppliers when delivering

commodities like figs, pottery, or olive oil. And they had to conduct themselves responsibly to maintain their personal and professional reputation. Thus, business was the perfect expression of ethics in both East and West, because it provided a forum within which virtues were tested in very real ways. Confucius urged each follower to be a great or humane person, or **Ru**. The opposite of a Ru would be a petty or selfish person. The concept of Ru was so important that the school established after his death was known as the Ru School, and the principles it taught are called Ruism.

Another important characteristic of Eastern and Western systems of virtue ethics is the integration of personal and professional life. A person could not act one way at home and a completely different way in public, especially civic leaders, merchants, teachers, and rulers. The modern tendency to compartmentalize various aspects of ourselves to accommodate circumstances would have puzzled those living in ancient Greece or China. A retail manager who is generous and understanding with their family while working the sales staff to the point of burnout to achieve monthly goals has not successfully integrated the personal and the professional, for instance, and even poses obstacles to individual happiness and life in the community.



People may be harsh to coworkers and kind to family members, or vice versa. Treating people differently based on context suggests ethical relativism, and self interest.

IN CONTEXT

Everyone desires efficiency in business but compartmentalizing our personal and professional ideals can lead to “dispersed personal accountability” in an organization and the kind of financial meltdown that occurred, through greed and rule-breaking, in the housing and financial industries and led to the worldwide recession of 2008.

The financial crisis was preceded by the terrorist attacks on 9/11, which in turn led to a global recession made worse by the dot-com bubble burst of the early 2000s. The federal government tried to improve the recession by lowering interest rates; this generally leads to higher investments that kick-start business. There was also a set of rules changed for buying houses even for people with limited incomes or bad credit history. On their own, none of these were unethical decisions—in fact, the intentions were to help the economy and help people buy houses.

However, by 2008, many people had loans on houses they could not repay. When the housing market started to recede, they found they owed more money on the house than the house was worth. Taken at an individual level, it made more sense to abandon the house than to attempt paying the mortgage. Indeed, some families found no other options. The abandoned properties then escalated the crisis.

Meanwhile, the banks themselves found themselves with worthless loans. This was especially true of a handful of big banks like Lehman Brothers and IndyMac that had acquired a lot of loans at discounted prices. Again, at an individual level, each person in the business did not think of their behavior as unethical. It was standard practice to buy and sell loans, including high-risk mortgages. Moreover, as it became clear that a crisis was about to hit, like the low-income homeowners, individuals attempted to shore up their own finances. Knowing that they were likely to be laid off soon, they would earn as many commissions as they could by selling off loans. This practice was further incentivized by the banks they worked for.

Movies like *Margin Call* and *99 Homes* document the way individuals made what felt like necessary decisions to keep their families afloat while contributing to a major ethical disaster for the U.S. economy.

What might the integration of personal and professional life look like, and how can you apply it within the relationships that are the foundation of business? To answer this question, consider the essence of the virtuous person that each ethical system strove to create. For Aristotle, the virtuous person saw the truth in every kind of situation. Once acknowledged and recognized, the truth could not be denied without compromising honor. Similarly, Confucius taught that “a gentleman will not, for the space of a meal, depart from humanity. In haste and flurry, he adheres to it; in fall and stumble, he adheres to it.”

Despite the emphasis these systems placed on character, however, character was not ultimately what defined the virtuous individual, family, city-state, or nation. Instead, it was the individual’s transformation, through education, into a different kind of being who will act virtuously even if no one is watching. When the person concentrates on the means used to achieve an end, eventually the means become a way of life even more important than the end itself. It is not merely that the means must match the end, but that they come to define the virtuous person.

The integration of personal and professional lives has two effects: motive and awareness. Motive is the willingness to do the right thing because it is the right thing, even though there may be no perceived benefit. Arguably, it is here that the individual’s true nature is revealed. The other effect, awareness, is the ability to see the ethical dimension in all events, choices, decisions, and actions. Many business scandals could be avoided if more people understood the value of human capital and the need to see the larger picture—to put it differently, responsibility over profitability.



TERMS TO KNOW

Managerial Ethics

A way of relating to self, employees, and the organization that balances individual and collective responsibility, and in which management also includes planning, organizing, and leading to achieve organizational goals.

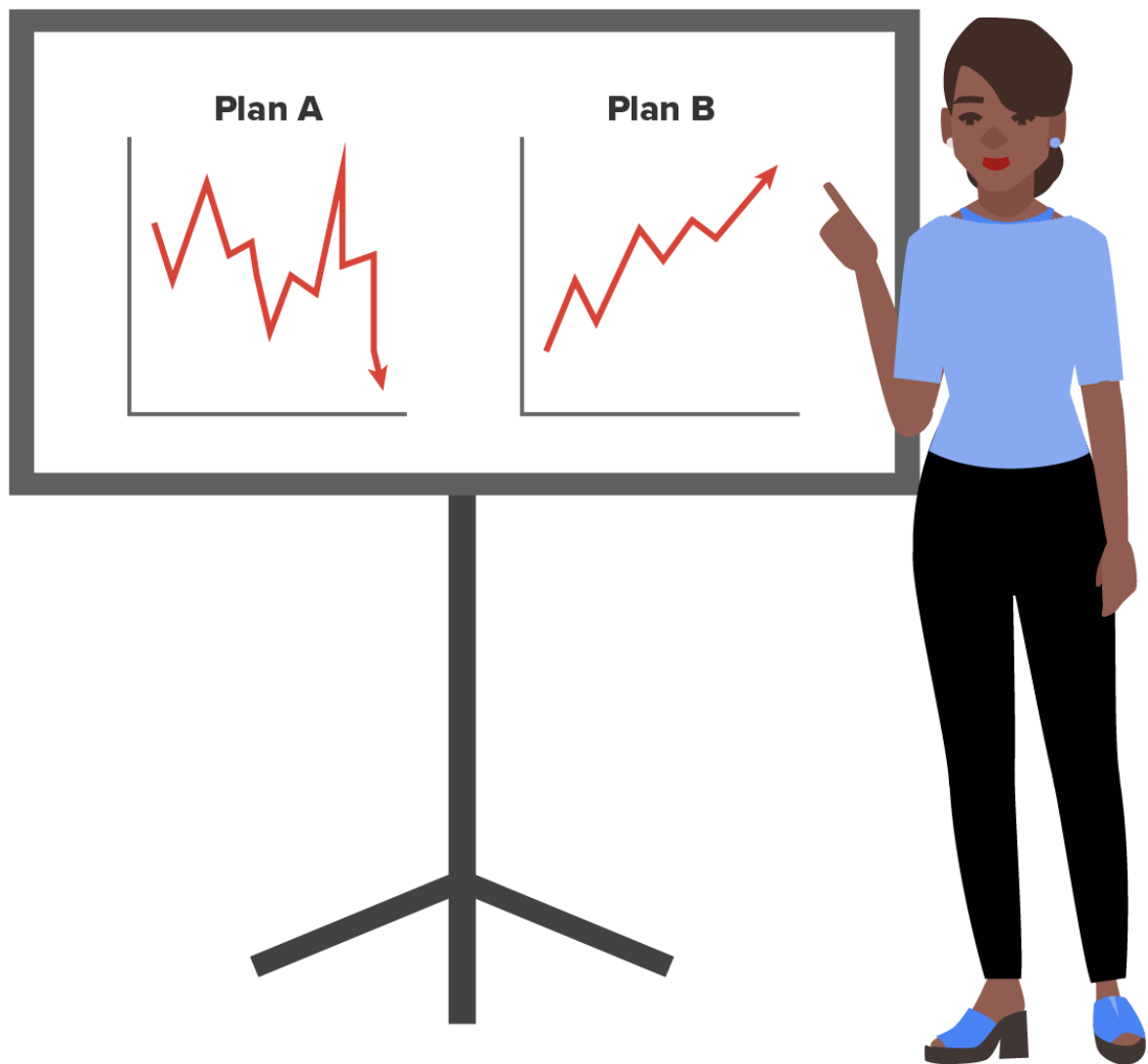
Ru

A great or humane person in Confucian thought.

2. Utilitarianism in Business

Utilitarianism is used frequently when business leaders make critical decisions about things like expansion, store closings, hiring, and layoffs. They do not necessarily refer to a “utilitarian calculus,” but whenever they take stock of what is to be gained and what might be lost in any significant decision (e.g., in a cost-benefit analysis), they make a utilitarian determination. At the same time, one might argue that a simple cost-benefit analysis is not a utilitarian calculus unless it includes consideration of all stakeholders and a full accounting of externalities, worker preferences, potentially coercive actions related to customers, or community and environmental effects.

As a practical way of measuring value, Bentham’s system also plays a role in risk management. Recall that Bentham attempted to measure human happiness using the utility function. The utility function, or the potential for benefit or loss, can be translated into modern decision making, risk assessment, and strategic planning. Together with data analytics, market evaluations, and financial projections, the utility function can provide managers with a tool for measuring the viability of prospective projects. It may even give them an opportunity to explore objections about the mechanistic and impractical nature of utilitarianism, especially from a customer perspective.



Business decisions are usually utilitarian, based on the best outcomes for stakeholders.

Utilitarianism could motivate individuals within the organization to take initiative, become more responsible, and act in ways that enhance the organization's reputation rather than tarnish it.

Recall that John Stuart Mill further evolved the concept of utilitarianism. Mill's *On Liberty*, a short treatment of political freedoms in tension with the power of the state, underscored the importance of expression and free speech, which Mill saw not as one right among many but as the foundational right, reflective of human nature, from which all other rights derive their meaning. And therein lay the greatest utility for society and business. For Mill, the path to utility led through truth, and the main way of arriving at truth was through a deliberative process that encouraged individual expression and the clash of ideas.

Also recall Mill's harm principle, the important addition to utilitarianism that besides happiness, people should consider options that do the least harm. This is also important in business. The first question in trying to arrive at a business decision might be, does this action harm others? If the answer is yes, you must make a utilitarian calculation to decide whether there is still a greater good for the greatest number. Then you must ask, who are the others you must consider? All stakeholders? Only shareholders? What does harm entail, and who decides whether a proposed action might be harmful? This was the reason science and debate were so

important to Mill, because the determination could not be left to public opinion or intuition. That was how tyranny started. By introducing deliberation, Mill was able to balance utility with freedom, which was a necessary condition for utility.

Where Bentham looked to numerical formulas for determining value, relying on the objectivity of numbers, Mill sought value in reason and in the power of language to clarify where truth lies. The lesson for contemporary business, especially with the rise of big data, is that you need both numbers and reasoned principles. If you apply the Aristotelian and Confucian rule of the mean, you see that balance of responsibility and profitability makes the difference between sound business practices and poor ones.

3. Deontology in Business

Unlike utilitarianism, which forms the philosophical foundation for most cost-benefit analysis in business, Kantian ethics is not so easily applied. Remember that Kant's deontology does not consider consequences at all, only moral duty, which should be followed regardless of outcomes.

On one hand, deontology offers a unique opportunity for the development of individual morality through the categorical imperative to act ethically, which emphasizes humanity and autonomy. This imperative addresses one major side of business ethics: the personal. Character and moral formation are crucial to creating an ethical culture. Indeed, business ethics is littered with cases of companies that have suffered damaging crises due to their leaders' lack of commitment to act on the basis of a good will and with regard for what benefits others. Recent examples include Uber, where a toxic work environment was allowed to prevail, and Volkswagen, which knowingly misrepresented the emissions level of its cars.

In the case of Uber, the world's biggest ride share service, the company put an emphasis on "hustling," which pitted drivers against one another. Though such competition is often used as a motivator in workplaces, at Uber this led to patterns of bullying and harassment which were expounded by tending to ignore the behavior of top earners.

In the case of Volkswagen, the attempts by the company to meet U.S. clean air laws in the smaller-sized Volkswagen vehicles were unsuccessful. Rather than abandon the U.S. market, the company engineered their filtering systems to meet the requirements during testing, knowing that they would not function during ordinary use.

Neither company set out to be unethical, but in one case, the desire to create an aggressive company culture to survive in a competitive market set a tone of tolerance of unethical behavior; in the other, the desire to avoid massive company setbacks and layoffs led to a "quick fix" that was deeply unethical. In essence, utilitarian decisions were made that seemed to do the most good for the company. However, large legal settlements in both cases showed that even self-serving consequences may suffer when ethics are compromised.

On the other hand, Kant's categorical imperative is just that—categorical or unconditional. It calls for morally upright behavior regardless of external circumstance or the historical context of a proposed act or decision. Kant affirmed that "the moral law is an imperative, which commands categorically, because the law is unconditioned." Unconditional ethics could be a challenge for a global organization dealing with suppliers, customers, and competitors in sometimes vastly different cultures. It raises a larger philosophical issue: namely, was Kant correct in believing that morality and mental categories are independent of experience? Or can they be culturally conditioned, and, if so, does that make them relative rather than absolute, as Kant believed them to be?

This question of whether ethics is universal is distinctly Kantian, because Kant believed that not only must a moral agent act with others' interests in mind and have the right intentions, but also that the action be universally applicable. Think of how Kantian ethics might be applied not just on an individual level but throughout an organization, and then society. Kant would judge a corporate act to be ethical if it benefited others at the same time it benefitted company leadership and stockholders, and if it did not place their interests above those of other stakeholders. If loyalty to a coworker conflicted with loyalty to a supervisor or the organization, for instance, then acts resulting from such loyalty might not meet the conditions of deontology. Either the supervisor or the company would be treated as a means rather than an end. Although the qualitative or humanizing element of Kantian ethics has broad appeal, it runs into limitations in an actual business setting. Whether the limitations have good or bad effects depends on the organization's culture and leadership. In general, however, most companies do not adhere to strict Kantian theories, because they look to the outcome of their decisions rather than focusing on motives or intentions.



TRY IT

A company hires an ethical advisor after some unethical behaviors roil the company. The person's first task is to improve the hiring process to hire more ethical employees.

What questions would they include in a job interview if they were a virtue ethicist?

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A virtue ethicist would be primarily interested in character; they may ask about evidence of past practices of the person that demonstrate the development of character, such as volunteering.

A utilitarian?

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A utilitarian may ask about ethical dilemmas the person has faced, or give scenarios and ask how the candidate would decide what to do, and look for the interviewee to consider the consequences of their actions and opt for the choice that does the least harm or provides benefits to the most people.

A deontologist?

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A deontologist might ask about ethical dilemmas, but they would have very different ideas of the right way to handle a dilemma. A deontologist would want the person to do the right thing regardless of consequences.



SUMMARY

In this lesson, you learned about **virtue ethics in business**, epitomized by the term “Ru” in Confucian thought, referring to a person who is humane in their thoughts and actions. You learned about **utilitarianism in business** and **deontology in business**, or balancing practical goals with moral principles. Managerial ethics also requires balancing the needs of the individual with the needs of the organization or company. Critical thinking is a key skill as you consider ethical dilemmas. An awareness of the key concepts, as well as the diverse approaches to ethical decision making, can enhance your critical thinking skills.



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